

Financial Accounting

Course: CPA — Certified Public Accountant

Level: Foundation Level 1

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1. Introduction to accounting and the regulatory framework

1.1 What accounting is

Accounting is the process of identifying, recording, classifying, summarising, and communicating financial information about an economic entity to people who use that information to make decisions.

Three stages happen in sequence:

Stage	What happens	Output
Recording (bookkeeping)	Transactions are captured as they occur	Books of original entry, ledgers
Classifying & summarising	Similar items are grouped and totalled	Trial balance
Communicating	Summarised data is presented for decisions	Financial statements, reports

1.2 Users of accounting information and their needs

User	Typical question they want answered
Owners/shareholders	Is my investment growing? Should I keep, add, or withdraw capital?
Management	Are we hitting targets? Where should resources go next period?
Lenders/banks	Can this entity service debt? Is security adequate?
Suppliers (trade creditors)	Will I be paid on time if I extend credit?
Customers	Will this supplier still be operating to honour warranties/contracts?
Government (KRA)	What tax is due? Is the entity complying with tax law?
Employees	Is my job secure? Can the business afford a pay rise?
The public	Does the entity provide local employment, pay fairly, operate responsibly?

1.3 Branches of accounting

- Financial accounting — historical, external-facing, governed by IFRS/IAS, produces the statement of profit or loss, statement of financial position, statement of cash flows.
- Management accounting — internal-facing, forward-looking, no mandatory format (budgets, variance analysis, costing).
- Cost accounting — a subset of management accounting focused on determining the cost of products/services.
- Auditing — independent examination of financial statements to give an opinion on whether they are true and fair.
- Tax accounting — computing tax liabilities in line with tax law (in Kenya, governed by the Income Tax Act and administered by KRA).

1.4 Regulatory and conceptual framework

- IASB (International Accounting Standards Board) issues IFRS (International Financial Reporting Standards) and IAS (older International Accounting Standards, still in force unless superseded).
- In Kenya, the Institute of Certified Public Accountants of Kenya (ICPAK) requires entities to prepare financial statements in accordance with IFRS, and the Companies Act, 2015 sets statutory reporting requirements for registered companies.
- The IASB Conceptual Framework underpins all standards. Its key ideas at Foundation level:
- Underlying assumption: going concern — the entity is assumed to continue operating for the foreseeable future.
- Qualitative characteristics: relevance, faithful representation (fundamental); comparability, verifiability, timeliness, understandability (enhancing).
- Elements of financial statements: asset, liability, equity, income, expense.

1.5 Accounting concepts and conventions

Concept	Meaning	Quick example
Business entity	The business is accounted for separately from its owner	The owner's personal car is not a business asset unless brought into the business
Money measurement	Only transactions expressible in money are recorded	Staff morale is not recorded; a salary payment is
Historical cost	Assets are initially recorded at original purchase cost	Land bought for KSh 2,000,000 stays at that cost, even if market value rises, until a revaluation policy is applied
Accruals (matching)	Income and expenses are recognised when earned/incurred, not when cash moves	Rent invoiced in June but paid in July is a June expense
Consistency	The same accounting policy is applied period to period	If straight-line depreciation is chosen, it should not be swapped every year without justification
Prudence	Do not overstate assets/income or understate liabilities/expenses	Provide for a doubtful debt even before it is confirmed bad
Going concern	The entity will continue operating	Assets are valued as "in use," not at forced-sale/liquidation values
Materiality	Only information that could influence a user's decision needs separate disclosure	A KSh 50 stationery item is expensed immediately, not capitalised and depreciated
Dual aspect	Every transaction has two effects on the accounting equation	Buying a motor vehicle for cash increases one asset and decreases another

Memory aid: *BEAM-HP-CG-D* — Business entity, Historical cost, Accruals, Materiality, Historical... (build your own acronym from the concepts in the order you find easiest to recall; the point is to have all nine ready to name and illustrate in an exam answer).

2. The accounting equation and double entry

2.1 The accounting equation

ASSETS = LIABILITIES + CAPITAL (EQUITY)

Every transaction keeps this equation in balance. Capital itself expands to:

Capital = Opening capital + Profit (or " Loss) + Additional capital introduced " Drawings

2.2 Double entry rules

Every transaction is recorded twice — once as a debit, once as a credit, of equal value.

Account type	Increase	Decrease
Asset	Debit	Credit
Expense	Debit	Credit
Drawings	Debit	Credit
Liability	Credit	Debit
Capital/Equity	Credit	Debit
Income	Credit	Debit

Mnemonic — DEAD CLIC: *Debit: Expenses, Assets, Drawings. Credit: Liabilities, Income, Capital.*

2.3 Worked example

Peter starts a stationery shop on 1 March 2026.

#	Transaction	Debit	Credit
1	Peter deposits KSh 500,000 as capital into the business bank account	Bank 500,000	Capital 500,000
2	Buys shop fittings for cash, KSh 80,000	Fittings 80,000	Bank 80,000
3	Buys inventory on credit from Rift Wholesalers, KSh 150,000	Purchases 150,000	Rift Wholesalers (payable) 150,000
4	Sells goods for cash, KSh 60,000 (cost KSh 40,000)	Bank 60,000	Sales 60,000
5	Pays Rift Wholesalers KSh 100,000 on account	Rift Wholesalers 100,000	Bank 100,000
6	Peter withdraws KSh 20,000 for personal use	Drawings 20,000	Bank 20,000

Note transaction 4: the cost of the goods sold (KSh 40,000) is *not* posted as a separate double entry under the periodic inventory system used at Foundation level — it is accounted for through the purchases and closing inventory figures when the statement of profit or loss is prepared (see Section 12).

3. Books of original entry

Books of original (or "prime") entry are where transactions are first recorded, before being posted to the ledger.

Book	Records	Posted to
Sales day book	Credit sales (per invoice issued)	Debit each customer's account; credit Sales account in total
Purchases day book	Credit purchases	Credit each supplier's account; debit Purchases account in total
Sales returns day book	Goods returned by customers	Credit each customer; debit Sales Returns
Purchases returns day book	Goods returned to suppliers	Debit each supplier; credit Purchases Returns
Cash book	All cash and bank receipts/payments	Dual-purpose – acts as both a book of prime entry and a ledger account
Petty cash book	Small, low-value cash expenses, usually run on the **imprest system**	Individual expense accounts (analysis columns)
General journal	Anything that doesn't fit the above: opening entries, non-current asset purchases/disposals, correction of errors, year-end adjustments	Relevant ledger accounts

3.1 The imprest system (petty cash)

A fixed "float" (e.g. KSh 10,000) is given to the petty cashier. At the end of the period, the cashier is reimbursed exactly the amount spent, restoring the float back to KSh 10,000.

Worked example: Float = KSh 10,000. During the month, KSh 7,400 is spent (KSh 3,000 stationery, KSh 2,500 tea/refreshments, KSh 1,900 transport). Reimbursement at month end = KSh 7,400, restoring the float to KSh 10,000 for the next period.

4. Ledger accounts and the trial balance

4.1 The ledger

The ledger is where postings from books of prime entry accumulate account-by-account. Traditionally split into:

- Sales (debtors') ledger — individual customer accounts.
- Purchases (creditors') ledger — individual supplier accounts.
- General (nominal) ledger — all other accounts: assets, liabilities, capital, income, expenses.
- Cash book — often kept as part of the general ledger.

4.2 Balancing an account (T-account format)

Bank Account			
Dr			Cr
2026		2026	
Mar 1 Capital	500,000	Mar 1 Fittings	80,000
Mar 4 Sales	60,000	Mar 5 Rift Wholesalers	100,000
		Mar 6 Drawings	20,000
		Mar 31 Balance c/d	360,000
	-----		-----
	560,000		560,000
Apr 1 Balance b/d	360,000		

4.3 The trial balance

A trial balance lists every ledger account's closing balance in a debit or credit column. If double entry has been applied correctly, total debits = total credits.

What a trial balance does *not* prove: it does not prove there are no errors — only that debits equal credits in total. Six classic errors that a trial balance will not reveal:

1. Error of omission — a transaction left out entirely.
 2. Error of commission — posted to the correct type of account but the wrong account (e.g. one customer's account instead of another).
 3. Error of principle — posted to the wrong class of account (e.g. a repair expensed as a non-current asset).
 4. Compensating errors — two unrelated errors of equal and opposite value cancel out.
 5. Error of original entry — the wrong amount is entered in both the debit and credit, e.g. KSh 5,400 recorded as KSh 4,500 in both accounts.
 6. Complete reversal of entries — debit and credit are swapped for a correct amount.
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5. Value Added Tax (VAT) in the accounting records

In Kenya, VAT is administered by the Kenya Revenue Authority (KRA) under the VAT Act. A VAT-registered business charges output VAT on sales and recovers input VAT on qualifying purchases; the difference is remitted to (or reclaimed from) KRA.

5.1 Recording VAT

- Sales are recorded net of VAT; VAT charged is credited to a VAT (output) account.
- Purchases are recorded net of VAT; VAT paid is debited to the same VAT control account.

- The net balance on the VAT account at period end is a liability to KRA (if output exceeds input) or a recoverable amount (if input exceeds output).

Worked example: Standard VAT rate assumed at 16% for illustration. A business sells goods for KSh 116,000 inclusive of VAT.

VAT-exclusive sales value = $116,000 \times 100/116 = 100,000$
 VAT (output) = $116,000 \times 16/116 = 16,000$

Journal: Debit Cash/Debtors 116,000; Credit Sales 100,000; Credit VAT Output 16,000.

Always check the VAT rate quoted in the exam question — rates are set by law and can change; do not assume a fixed percentage without reading the question.

6. Non-current assets and depreciation

6.1 Recognition and cost

A non-current asset is recognised at cost, which includes purchase price plus all costs necessary to bring the asset to its location and working condition (delivery, installation, non-refundable taxes), but excludes financing costs and costs of abnormal wastage.

6.2 Depreciation methods

Method	Formula	When typically used
Straight-line	$(\text{Cost} - \text{Residual value}) \div \text{Useful life}$	Assets that wear evenly over time, e.g. buildings, fittings
Reducing (declining) balance	$\text{Net book value} \times \text{fixed \%}$	Assets that lose more value early (e.g. motor vehicles, computers)
Units of production	$(\text{Cost} - \text{Residual value}) \div \text{Total expected output} \times \text{units produced in period}$	Machinery where wear tracks usage, not time

Worked example (straight-line): Machine cost KSh 900,000, residual value KSh 100,000, useful life 8 years.

Annual depreciation = $(900,000 - 100,000) \div 8 = \text{KSh } 100,000$ per year

Worked example (reducing balance): Motor vehicle cost KSh 1,200,000, depreciated at 25% reducing balance.

Year 1: $1,200,000 \times 25\% = 300,000$!' NBV 900,000
 Year 2: $900,000 \times 25\% = 225,000$!' NBV 675,000
 Year 3: $675,000 \times 25\% = 168,750$!' NBV 506,250

6.3 Disposal of a non-current asset

Steps: (1) remove the asset's original cost, (2) remove accumulated depreciation to date, (3) record sale proceeds, (4) the balancing figure on the disposal account is a profit or loss on disposal, taken to the statement of profit or loss.

Worked example: Equipment cost KSh 400,000, accumulated depreciation KSh 250,000 (NBV KSh 150,000), sold for KSh 180,000 cash.

Disposal account:			
Dr Cost	400,000	Cr Accumulated depreciation	250,000
		Cr Bank (proceeds)	180,000
		Cr Profit on disposal	30,000
	400,000		460,000...

Check: $250,000 + 180,000 = 430,000$ credits vs $400,000$ debit cost !' profit on disposal = $430,000 - 400,000 = \text{KSh } 30,000$ profit.

7. Inventory (stock) valuation

7.1 The rule

Per IAS 2, inventory is valued at the lower of cost and net realisable value (NRV), applied item by item (or group of similar items).

$$\text{NRV} = \text{Estimated selling price} - \text{estimated costs to complete} - \text{estimated costs to sell}$$

7.2 Cost formulas

Method	How it works
FIFO (first in, first out)	Oldest costs are assumed sold first; closing inventory is valued at the most recent purchase costs
Weighted average cost (AVCO)	A new average cost is recalculated after each purchase (or periodically); closing inventory valued at the latest average

Worked example (FIFO):

Date	Transaction	Units	Unit cost
1 Jun	Opening inventory	100	50
10 Jun	Purchase	200	55
20 Jun	Sale	150	—

Under FIFO, the 150 units sold are assumed to come from the 100 opening units (@50) first, then 50 of the June-10 batch (@55).

Closing inventory = 150 units of the June-10 batch remaining $\times$ 55 = KSh 8,250

7.3 Why the choice matters

In a period of rising prices, FIFO produces a higher closing inventory value and higher reported profit than AVCO, because FIFO leaves the most recent (higher) costs in closing inventory while AVCO smooths costs across all units.

8. Accruals and prepayments

Applying the accruals concept: expenses/income are matched to the period they relate to, regardless of when cash moves.

Situation	Adjustment
Expense incurred but not yet paid at period end	Accrued expense – add to the expense in the statement of profit or loss; show as a current liability
Expense paid in advance, relating to next period	Prepayment – deduct from the expense; show as a current asset
Income earned but not yet received	Accrued income – add to income; show as a current asset
Income received in advance, relating to next period	Income received in advance (deferred income) – deduct from income; show as a current liability

Worked example: Rent expense account shows cash paid during the year of KSh 240,000. Rent for December (KSh 20,000) has not yet been paid at year end.

Rent expense for the year (SPL) = 240,000 + 20,000 accrued = KSh 260,000

Statement of financial position: Accrued expenses (current liability) = KSh 20,000

9. Irrecoverable debts and allowances for doubtful debts

- Irrecoverable (bad) debt — a specific debt written off because it is confirmed uncollectible. Entry: Debit Irrecoverable Debts Expense; Credit Trade Receivables (the specific customer).

- Allowance for doubtful debts — a general provision against receivables that *might* not be collected, applying prudence. It does not remove a specific customer's balance; it is shown as a deduction from total trade receivables in the statement of financial position.

Worked example: Trade receivables at year end = KSh 800,000. A specific debt of KSh 30,000 is written off as irrecoverable. The business then wants a 5% allowance for doubtful debts on the remaining receivables.

Receivables after write-off = 800,000 – 30,000 = 770,000

Allowance required = 770,000 $\times$ 5% = 38,500

Statement of financial position (extract):

Trade receivables	770,000
Less: allowance for doubtful debts	(38,500)
	731,500 (net receivables)

If an allowance already existed from the prior year, only the increase or decrease in the allowance is charged/credited to the statement of profit or loss for the current year — not the full new balance.

10. Bank reconciliation statements

Differences between the cash book balance and the bank statement balance arise from timing differences and errors.

Item	Cause
Unpresented cheques	Cheques written and recorded in the cash book, not yet cleared by the bank
Uncredited deposits (lodgements)	Money paid in and recorded in the cash book, not yet reflected on the bank statement
Bank charges / interest	Often appear on the bank statement before the business records them
Standing orders / direct debits	Automatic payments the bank processes that the business may not yet have recorded
Dishonoured cheques	A customer's cheque that bounced – needs to be reversed in the cash book

Worked example:

Cash book balance (updated for bank charges of 1,500 and a dishonoured cheque of 12,000 not yet recorded):
to find

Balance per bank statement	245,000
Add: uncredited deposits	30,000
Less: unpresented cheques	(18,000)
= Balance per cash book (corrected)	257,000

Always reconcile from the bank statement balance to the corrected cash book balance (or vice versa)
— never mix uncorrected cash book figures with bank statement adjustments.

11. Control accounts, errors, and suspense accounts

11.1 Control accounts

A sales ledger control account (total receivables account) and purchases ledger control account (total payables account) summarise, in one place, everything that individually appears across all the customer/supplier accounts in the subsidiary ledgers. Its closing balance should agree with the total of individual balances in the sales/purchases ledger — this is used to check the accuracy of the ledgers.

Typical entries in a sales ledger control account:

Debit side	Credit side
Opening balance	Cash/cheques received from customers
Credit sales (from sales day book)	Sales returns
Dishonoured cheques	Discounts allowed
Irrecoverable debts written off	
Closing balance	

11.2 Errors and the suspense account

When a trial balance does not balance, the difference is temporarily posted to a suspense account so that draft financial statements can still be prepared while the error is traced.

Worked example: Trial balance credit column exceeds debit column by KSh 4,000. On investigation: a purchase of KSh 4,000 was correctly entered in the Purchases account but never posted to the supplier's account.

Journal: Dr Suspense 4,000 ; Cr Supplier's account 4,000

This clears the suspense account and corrects the omitted credit entry.

Only errors that cause the trial balance not to balance pass through a suspense account (e.g. one-

sided entries, or entries of different amounts on each side). Errors of omission, commission, principle, original entry (both sides equal but wrong figure), complete reversal, and compensating errors do not go through suspense because the trial balance still balances despite them (see Section 4.3).

12. Financial statements of a sole trader

12.1 Statement of profit or loss (extract, format)

	KSh	KSh
Sales revenue		X
Less: Cost of sales		
Opening inventory	X	
Add: Purchases	X	
Less: Purchases returns	(X)	
Add: Carriage inwards	X	

	X	
Less: Closing inventory	(X)	
		(X)

Gross profit		X
Add: Other income (discounts received, rent received, etc.)		X
Less: Expenses (wages, rent, depreciation, irrecoverable debts, allowance movement, etc. – adjusted for accruals and prepayments)		(X)

Profit for the year		X

12.2 Statement of financial position (extract, format)

	Cost	Acc. Dep.	NBV
Non-current assets			
Property, plant & equipment	X	(X)	X
Current assets			
Inventory			X
Trade receivables (net of allowance)			X
Prepayments			X
Bank / cash			X

Total assets			X
			===
Capital			
Opening capital			X
Add: profit for the year			X
Less: drawings			(X)

			X
Non-current liabilities (e.g. long-term loan)			X
Current liabilities			
Trade payables			X
Accrued expenses			X

Total capital and liabilities			X
			===

13. Financial statements of not-for-profit organisations

Clubs, societies, and similar not-for-profit entities use different terminology but the same accruals logic:

For-profit term	Not-for-profit equivalent
Statement of profit or loss	Income and expenditure account
Profit	Surplus
Loss	Deficit
Capital	Accumulated fund
Cash receipts/payments record	Receipts and payments account

Subscriptions are a common Foundation-level trap: subscriptions *received* in cash during the year must be adjusted for amounts owing/prepaid at the start and end of the year to arrive at subscriptions *earned* (income) for the period, using the same accrual logic as Section 8.

14. Introduction to company accounts

At Foundation level, the focus is on the basic structure rather than full IFRS-compliant published accounts:

- A company's equity is divided into share capital (ordinary/preference shares at nominal value) and reserves (e.g. retained earnings, share premium).
- Dividends are a distribution of profit to shareholders, not an expense in arriving at profit — they reduce retained earnings directly.
- Unlike a sole trader, a company is a separate legal entity, so "drawings" as a concept does not apply to shareholders; only formally declared dividends reduce equity.

15. Full worked revision question

Scenario (original): Amina runs a retail shop as a sole trader. The following balances were extracted from her books at 31 December 2026, before adjustments:

```
| Account | KSh |
|---|---|
| Sales | 2,400,000 |
| Purchases | 1,500,000 |
| Opening inventory (1 Jan 2026) | 180,000 |
| Rent | 240,000 |
| Wages | 360,000 |
| Trade receivables | 300,000 |
| Trade payables | 210,000 |
| Bank | 95,000 (debit) |
| Fittings, at cost | 400,000 |
| Accumulated depreciation on fittings (1 Jan 2026) | 120,000 |
| Capital (1 Jan 2026) | 495,000 |
| Drawings | 150,000 |
```

Additional information:

1. Closing inventory at 31 December 2026 was valued at KSh 210,000.
2. Rent of KSh 20,000 for December 2026 was unpaid at year end (accrual).
3. Fittings are depreciated at 10% per annum on cost, straight-line.
4. Trade receivables include an irrecoverable debt of KSh 15,000 to be written off; an allowance for doubtful debts of 5% is then required on the remaining balance.

Required: Prepare the statement of profit or loss for the year ended 31 December 2026 and the statement of financial position as at that date.

Model answer:

Step 1 — irrecoverable debt and allowance

Receivables after write-off = $300,000 - 15,000 = 285,000$
Allowance for doubtful debts = $285,000 \times 5\% = 14,250$
Irrecoverable debts expense (SPL) = $15,000 + 14,250 = 29,250$

Step 2 — depreciation

Depreciation for the year = $400,000 \times 10\% = 40,000$
Accumulated depreciation c/f = $120,000 + 40,000 = 160,000$

Step 3 — rent expense

Rent expense (SPL) = $240,000 + 20,000 \text{ accrual} = 260,000$

Statement of profit or loss for the year ended 31 December 2026

	KSh	KSh
Sales		2,400,000
Less: Cost of sales		
Opening inventory	180,000	
Add: Purchases	1,500,000	

	1,680,000	
Less: Closing inventory	(210,000)	
		(1,470,000)

Gross profit		930,000
Less: Expenses		
Rent	260,000	
Wages	360,000	
Depreciation	40,000	
Irrecoverable debts & allowance	29,250	

		(689,250)
Profit for the year		240,750
		=====

Statement of financial position as at 31 December 2026

Non-current assets	Cost	Acc.Dep.	NBV
Fittings	400,000	160,000	240,000
Current assets			
Inventory			210,000
Trade receivables (285,000 " 14,250)			270,750
Bank			95,000

			575,750

Total assets			815,750
			=====
Capital			
Opening capital			495,000
Add: profit for the year			240,750

			735,750
Less: drawings			(150,000)

			585,750
Current liabilities			
Trade payables	210,000		
Accrued rent	20,000		
			230,000

Total capital and liabilities			815,750
			=====

Check: total assets (240,000 non-current + 210,000 inventory + 270,750 receivables + 95,000 bank) = 815,750, which agrees with total capital and liabilities of 815,750. Always foot both sides of the statement of financial position before submitting an answer — if they don't agree, re-check each adjustment in turn rather than assuming the source data is wrong.

16. Self-assessment question bank (original questions, with model answers)

Q1. Define the "accruals concept" and give one example of its application other than rent or subscriptions. *(3 marks)*

Model answer: The accruals (matching) concept requires income and expenses to be recognised in the period they are earned or incurred, not necessarily when cash is received or paid, so that profit reflects economic activity rather than cash movement. Example: electricity used in December but billed and paid in January is charged as a December expense with a corresponding accrual at the December year end.

Q2. A trader bought a delivery van for KSh 1,800,000 on 1 January 2025. It is depreciated at 20% per annum on the reducing balance method. Calculate the net book value at 31 December 2027 (three full years). *(4 marks)*

Model answer:

End of 2025: $1,800,000 \times (1 - 0.20) = 1,440,000$

End of 2026: $1,440,000 \times 0.80 = 1,152,000$

End of 2027: $1,152,000 \times 0.80 = 921,600$

Net book value at 31 December 2027 = KSh 921,600.

Q3. Explain, with a journal entry, how an irrecoverable debt of KSh 12,000 from customer "Juma" is written off. *(3 marks)*

Model answer: Dr Irrecoverable debts expense 12,000; Cr Trade receivables — Juma 12,000. This removes the specific customer balance from receivables and charges the loss to the statement of profit or loss.

Q4. A business's cash book shows a balance of KSh 84,000. The bank statement shows KSh 101,000. On comparison, unpresented cheques total KSh 25,000 and there is an uncredited deposit of KSh 8,000. Prepare the reconciliation. *(5 marks)*

Model answer:

Balance per bank statement	101,000
Add: uncredited deposit	8,000
Less: unpresented cheques	(25,000)

Balance per cash book	84,000

This agrees with the cash book balance given, confirming no further adjustment is required.

Q5. State two errors that would cause a trial balance to disagree, and two that would not. *(4 marks)*

Model answer: Would cause disagreement: (i) a one-sided entry (posted as a debit only, with no corresponding credit); (ii) unequal amounts posted on the debit and credit sides of the same transaction. Would not cause disagreement: (i) error of complete reversal of entries; (ii) error of principle (e.g. capital expenditure treated as revenue expenditure).

Q6. Explain the difference between FIFO and weighted average cost as inventory valuation methods, and state the effect on profit of using FIFO during a period of rising prices. *(4 marks)*

Model answer: FIFO assumes the oldest inventory costs are used up first, leaving closing inventory valued at the most recent (higher, in a period of rising prices) costs. Weighted average recalculates an average cost across all units held, smoothing price changes. During rising prices, FIFO produces a higher closing inventory value and therefore a lower cost of sales, resulting in higher reported gross profit compared with weighted average.

Q7. A club's receipts and payments account shows subscriptions received of KSh 540,000 during the year. At the start of the year, KSh 30,000 was owed by members; at the end of the year, KSh 45,000 was owed by members and KSh 10,000 had been received in advance for next year. Calculate subscription income for the income and expenditure account. *(5 marks)*

Model answer:

Subscriptions received (cash)	540,000
Less: opening amount owing (already counted last year) (30,000)	
Add: closing amount owing (earned this year, not yet received) 45,000	
Less: received in advance (relates to next year) (10,000)	

Subscription income for the year	545,000

Q8. Distinguish between capital expenditure and revenue expenditure, giving one example of each in the context of a delivery business. *(3 marks)*

Model answer: Capital expenditure creates or enhances a non-current asset with benefits lasting more than one accounting period, e.g. purchasing a new delivery truck. Revenue expenditure is incurred in the day-to-day running of the business and is consumed within the period, e.g. fuel for the delivery trucks.

Q9. A supplier's statement shows a balance owing of KSh 95,000, but the trader's purchases ledger shows KSh 83,000 owing to the same supplier. On investigation, an invoice for KSh 12,000 had been received from the supplier but not yet entered in the trader's books. Reconcile the two figures. *(4 marks)*

Model answer:

Balance per trader's ledger	83,000
Add: invoice not yet recorded	12,000

Corrected balance (agrees with supplier's statement) 95,000

Q10. Briefly explain the "prudence" concept and how it is applied when accounting for an allowance for doubtful debts. *(3 marks)*

Model answer: Prudence requires that assets and income are not overstated and liabilities and expenses are not understated, so that financial statements do not present an unduly optimistic picture. Applied to receivables, a business estimates the portion of trade receivables that may not be collected and creates an allowance for doubtful debts, reducing the net receivables shown as an asset and charging the estimated loss against profit, even before any specific debt is confirmed irrecoverable.

17. Exam technique and revision checklist

- Always show workings — Foundation-level marking awards method marks even if a final figure is wrong.
- Label every T-account and statement clearly (Dr/Cr, account name, period covered).
- When a trial balance doesn't balance in a computational question, state the amount of the difference and where you have posted it to suspense before attempting to trace the error.
- For depreciation questions, check which method and whether depreciation is charged in the year of disposal — read the question's policy statement carefully; conventions vary (full year, none in year of disposal, pro-rata) and the question will specify which applies.
- For adjustment questions (accruals/prepayments/allowances), write the formula first, then substitute numbers — this makes errors easy to spot and easy for an examiner to award partial credit.
- Before submitting a statement of financial position, foot (add up) both sides and confirm they are equal — if not, re-check every adjustment in order rather than guessing.

Quick revision summary — one line per topic:

1. Accounting equation: Assets = Liabilities + Capital.
2. Double entry: DEAD CLIC (Debit Expenses/Assets/Drawings; Credit Liabilities/Income/Capital).
3. Books of prime entry feed the ledgers; the cash book is both prime entry and a ledger account.
4. A trial balance proves arithmetic equality, not the absence of errors.
5. VAT is recorded net of tax; the VAT account nets to a payable or recoverable balance.
6. Depreciation systematically allocates cost (less residual value) over useful life — it does not represent market value.
7. Inventory is valued at the lower of cost and net realisable value.
8. Accruals/prepayments adjust cash-based figures to the correct period's expense/income.
9. Irrecoverable debts are written off specifically; allowances for doubtful debts are a general, prudence-driven provision.
10. Bank reconciliations explain timing differences between the cash book and the bank statement.
11. Control accounts cross-check the accuracy of subsidiary ledgers; suspense accounts hold the trial balance difference until errors are traced.
- 12–14. Sole trader, not-for-profit, and company financial statements all rest on the same accruals-based logic, with different terminology and equity structures.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.

